

# W&B Group, LLC

---

## Fiscal Period Financial Report

For the Year Ended December 31, 2026

|                           |                                       |
|---------------------------|---------------------------------------|
| <b>EIN:</b>               | 39-3842347                            |
| <b>Business Activity:</b> | Property Rental/Management/Investment |
| <b>Address:</b>           | 177 Kingsway Dr, Wimberley, Tx 78676  |
| <b>Date Prepared:</b>     | July 06, 2026                         |
| <b>Accounting Method:</b> | Cash Basis                            |
| <b>Prepared By:</b>       | llcRentalTracker v0.3                 |

---

## Section 1 — Financial Summary

---

### Entity Overview

W&B Group, LLC (EIN 39-3842347) is a multi-member limited liability company organized under Texas law, engaged in property rental/management/investment. The LLC was organized on 08/29/2025. It is treated as a partnership for federal income tax purposes and files Form 1065. Members and ownership percentages: Member 1 (o20250801\_1) — 96.0% | Member 2 (o20250801\_2) — 2.0% | Member 3 (o20250801\_3) — 2.0%. Contact: wbgroupmgr@gmail.com.

### Active Rental Properties

- H\_805HighMesa | Depreciable Basis: \$142,884.48

### Assets Under Development (Not Yet In Service)

- RV\_RV1 — capitalized basis \$2,070.21

No depreciation may be claimed until each asset is placed in service. Pre-service costs may need reclassification — see Section 6 (CPA Flags).

### Year in Review

For the year ended December 31, 2026, the LLC reported gross rental income of \$0.00 and total operating expenses of \$0.00, resulting in a net income of \$0.00. Depreciation expense of \$1,903.13 (MACRS, 27.5-year residential, mid-month convention) is included in total expenses and relates solely to active rental properties.

### Cash Position

Cash on hand (Acct.Cash.Bank) as of December 31, 2026: \$6,765.99. See Section 2 (Balance Sheet) for all asset and liability detail.

### Member Capital

Each member's share of the net income of \$0.00 has been allocated to their respective capital accounts per the LLC Operating Agreement. See Section 5 (Member Capital Account Analysis) for Item L detail.

## Section 2 — Balance Sheet

### As of December 31, 2026

| Account                                 | Balance         |
|-----------------------------------------|-----------------|
| <b>■ ■ Asset ■ ■</b>                    |                 |
| 1010 Acct.Cash.Bank                     | \$6,765.99      |
| 1025 Acct.Cash.Escrow                   | \$0.00          |
| 1460 Acct.Fixed.Depreciation.Accum      | (\$1,903.13)    |
| 1410 Acct.Fixed.Land                    | \$79,438.41     |
| 1310 Acct.Fixed.Tangible.InConstruction | \$2,532.36      |
| 1430 Acct.Fixed.Tangible.InService      | \$139,563.20    |
| <b>■ ■ Equity ■ ■</b>                   |                 |
| 3100 Acct.Equity.Earnings.PnL           | \$0.00          |
| 3999 Acct.Equity.Income.Summary         | \$667.55        |
| 3010 Acct.Equity.Owner.Capital.Funds    | (\$226,396.83)  |
| <b>TOTAL</b>                            | <b>\$667.55</b> |

**Note — Open-Period Accounting:** The BS equation gap (\$0.00) equals the period Net Income. The GL is balanced under  $A = L + E + NI$  ( $\$226,396.83 = \$226,396.83 + \$0.00$ ). Revenue/expense accounts remain open for IRS K-1 detail; no closing entries are posted.

### Accounting Notes

Note 1 — Accounting Method: Cash basis. Revenue recognised when received; expenses deducted when paid.

Note 2 — Fixed Assets: Carried at historical cost. Building basis includes purchase price plus capitalised acquisition costs per IRS Pub. 551.

Note 3 — Depreciation: MACRS General Depreciation System, 27.5-year residential rental, mid-month convention (IRS Pub. 946 Table A-1).

Note 4 — Land: Not depreciated. Value determined by tax-assessor ratio applied to total acquisition cost.

### Section 3 — Income Statement (Profit & Loss)

For Year Ended December 31, 2026

| Account                    | Balance       |
|----------------------------|---------------|
| <b>NET INCOME / (LOSS)</b> | <b>\$0.00</b> |

#### Per-Member Net Income/(Loss) Allocation

| Member          | Ownership % | Amount        |
|-----------------|-------------|---------------|
| Francis X Rojas | 96.0%       | \$0.00        |
| Alexandra Rojas | 2.0%        | \$0.00        |
| Nicola Rojas    | 2.0%        | \$0.00        |
| <b>Total</b>    | <b>100%</b> | <b>\$0.00</b> |

#### Income Notes

Note 1 — All revenue is rental income per IRC §61. No unrelated business income was received.

Note 2 — Depreciation is an ordinary deduction under IRC §167/168. See Section 4 for Form 4562 detail.

Note 3 — Rental real estate activity is passive under IRC §469. Net loss carries forward to offset future passive income. Members should track passive activity carryforward on Form 8582.

## Section 4 — Depreciation Schedule (Form 4562 Reference)

### In-Service Assets (depreciation posted)

| Property               | In Service | Type | Dep. Basis | Method | Life | Deduction |
|------------------------|------------|------|------------|--------|------|-----------|
| No depreciation posted |            |      |            |        |      |           |

IRS MACRS mid-month convention (real property): year-1 fraction =  $(25 - 2M) / 24$ , where M = placement month.

### Assets Under Construction — Not Yet In Service (no depreciation)

| propNm | Asset Class            | Capitalized Basis | Est. MACRS Life | Est. Bonus Depr (2025)        | Status         |
|--------|------------------------|-------------------|-----------------|-------------------------------|----------------|
| RV_RV1 | 5-yr personal property | \$2,070.21        | 5 years (MACRS) | 60% in year placed in service | InConstruction |

RV held for short-term rental: personal property (5-year MACRS, 200% DB, half-year convention). 60% first-year bonus depreciation available in year placed in service. Pre-service preparation costs must be capitalized to basis, not expensed. See Section 6 — CPA Flags for required reclassifications.

## Section 5 — Member Capital Account Analysis (K-1 Item L)

| Item L                        | Francis X Rojas     | Alexandra Rojas | Nicola Rojas  | Total               |
|-------------------------------|---------------------|-----------------|---------------|---------------------|
| (a) Beginning Capital         | \$0.00              | \$0.00          | \$0.00        | \$0.00              |
| (b) Contributions             | \$225,829.28        | \$0.00          | \$0.00        | \$225,829.28        |
| (c) Net Income/(Loss) Share   | \$0.00              | \$0.00          | \$0.00        | \$0.00              |
| (d) Other Increases           | \$0.00              | \$0.00          | \$0.00        | \$0.00              |
| (e) Withdrawals/Distributions | \$100.00            | \$0.00          | \$0.00        | \$100.00            |
| <b>(f) Ending Capital</b>     | <b>\$225,729.28</b> | <b>\$0.00</b>   | <b>\$0.00</b> | <b>\$225,729.28</b> |

Ending capital per member must match K-1 Item L(f). Provide this schedule to your CPA for K-1 preparation.

## Section 6 — Outstanding Items & CPA Notes

The following items require accountant or IRS attention before Form 1065 is filed.

| #  | Category     | Flag                                                                               | Action Required                                                                                                                                                    | CPA Status |
|----|--------------|------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| 1  | Depreciation | No depreciation entry found for in-service assets                                  | Run YE Posting from llcAssets view to post MACRS depreciation before filing.                                                                                       | Pending    |
| 2  | Accounting   | Form 1065 Line F — accounting method not recorded in profile                       | Confirm Cash or Accrual with CPA; update llcProfile F1065 field.                                                                                                   | Pending    |
| 3  | Liabilities  | No mortgage payable recorded in llcPayables                                        | If property was financed, add mortgage principal balance as of 12/31. If cash purchase, document.                                                                  | Pending    |
| 4  | Liabilities  | No security deposit liability recorded                                             | If deposits are held, add to llcPayables as Acct.Liab.Customer.Security.                                                                                           | Pending    |
| 5  | Tax          | Passive activity loss (IRC §469) — net loss carries forward                        | Members must track carryforward on Form 8582. Loss deductible when property sold or passive income earned.                                                         | Pending    |
| 6  | Tax          | At-risk rules (IRC §465) — verify each member's at-risk amount                     | Loss deductible only to extent member is at-risk. CPA must calculate outside basis.                                                                                | Pending    |
| 7  | Property     | County tax proration (\$1,661) classified as InService basis reduction             | CPA should verify: is this a current-year expense credit or a basis adjustment?                                                                                    | Pending    |
| 8  | K-1          | K-1s must be delivered to members by March 15 (or extension date)                  | Generate Schedule K-1 PDFs from IS PerMember view and deliver to each member.                                                                                      | Pending    |
| 9  | Docs         | Operating Agreement profit/loss allocation: 96% / 2% / 2%                          | Confirm this matches the signed Operating Agreement on file. Any discrepancy voids K-1 allocation.                                                                 | Pending    |
| 10 | Asset        | RV (RV_RV1): InConstruction — not yet placed in service as of 12/31/2026           | Document the date the asset first becomes available for rental. No depreciation until in-service date. Report in-service date on Form 4562.                        | Pending    |
| 11 | Tax — RV     | RV rental activity type unknown — passive vs. active determines loss deductibility | Determine average rental period. ≤7 days avg → NOT passive (IRC §469(j)(8)); losses deductible against ordinary income immediately. >7 days → passive rules apply. | Pending    |
| 12 | Tax — RV     | RV listed property check (IRC §280F)                                               | Confirm GVWR. If >6,000 lbs → not subject to luxury-auto annual caps. Business-use log required regardless.                                                        | Pending    |
| 13 | Tax — RV     | 60% bonus depreciation election available in year RV is placed in service          | Decide with CPA whether to take 60% first-year bonus (2025 TCJA rate for 5-year personal property). Reduces basis for subsequent years.                            | Pending    |